

Capital Convergence Research

Verified Outcome Analysis — Active Research Project

Prepared June 2026 | For prospective and existing investor review | Not a commercial offering

This document describes the findings of an active, private research project into systematic capital deployment. It is not a product pitch, a fund prospectus, or a guaranteed income offer. It is prepared for investor due diligence and reflects the state of the research as of the date above.

1. What This Research Is Trying To Solve

A systematic trading strategy produces a sequence of wins and losses. How that sequence interacts with the capital model — the rules that govern position sizing, extraction, and survival — determines whether a depositing investor thrives, survives, or is wiped out. The outcome depends heavily on when in the sequence the investor enters.

Early analysis of this system identified a critical problem: a single historical path, beginning January 2023, produced strong results under the original capital configuration. That path became the reference. But when every other possible historical starting point was tested against the same rules, 194 of 316 (61.4%) caused the account to halt before completion — and the original reference path itself experienced a 94.4% peak-to-trough drawdown before recovering.

The original published outcome was the single most fortunate entry point in the historical record. The research task became: find a capital configuration that does not depend on that luck.

2. The Convergence Zone

The research tested 40 different capital configurations — combinations of allocation percentage (how much of total capital is deployed per trade) and initial deposit size — against all 316 historical starting points. The question was not which configuration produces the best outcome, but which configurations produce zero halts regardless of when the investor enters.

A convergence zone was identified: a band of allocation percentages between 15% and 20% of total capital that, across every single one of the 316 historical starting points tested, resulted in zero account halts. Not a reduced halt rate — zero. 12,640 individual test simulations across the full dataset.

- Below the convergence zone (lower allocations): zero halts, but meaningfully lower growth potential and slower Phase 1/2 activation.
- Within the convergence zone (15–20%): zero halts, consistent extraction behavior when thresholds are crossed.
- Above the convergence zone (25–40%): increasing halt rates, peaking at 61.4% at the original 40% allocation. Higher potential upside on the surviving paths, but no guarantee of survival.

The convergence zone is the basis for all deployment decisions going forward. The specific allocation within or near this zone for any given investor is determined through custom analysis — not assigned uniformly — because entry timing, deposit size, and prevailing market conditions interact in ways that require individual evaluation.

3. Two Observed Outcome Profiles

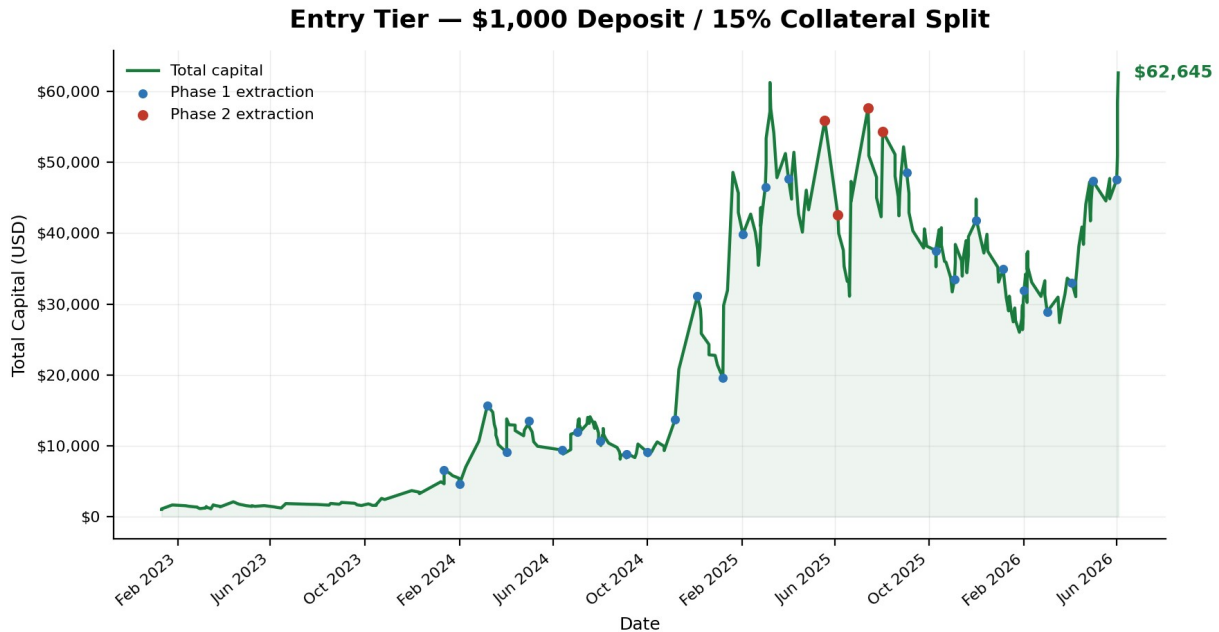
Within the convergence zone, the research identified two distinct outcome profiles corresponding to different deposit sizes and allocation levels. These are documented here as reference points from the verified historical dataset — not as selectable tiers or fixed products. A real deployment would be custom-analyzed against the current entry point.

Metric	Growth Path	Income Path
Deposit observed in research	\$1,000	\$10,000
Allocation (% of total capital)	15%	20%
Halt rate — all 316 entry points	0% (0 of 316)	0% (0 of 316)
Final capital — verified baseline path	\$62,645.03	\$1,583,674.84
Final capital / deposit ratio	62.65×	158.37×
Total client income extracted	\$35,800.00	\$199,900.00
Income / deposit ratio	35.80×	19.99×
Months active in window	41	41
Months with an extraction	30 (73.2%)	41 (100.0%)
Worst peak-to-trough drawdown	57.5%	66.9%
Recovery from worst drawdown	Recovered at window close	~9 months (Dec 2024)

The differences between the two profiles are structural, not arbitrary. A smaller deposit at the lower end of the convergence zone compounds more slowly, activates Phase 1 extraction later (capital must grow to \$5,000 before the first extraction fires), and produces a higher multiple-of-deposit but less consistent monthly extraction. A larger deposit at the higher end of the zone activates both phases sooner, produces 100% extraction consistency over the observed window, but returns a lower multiple of the original deposit because it is earning income rather than compounding freely.

4. Growth Path — Verified Baseline

Observed in research at a \$1,000 deposit with 15% allocation. Equity curve below reflects the Jan 2023 baseline path under this configuration.

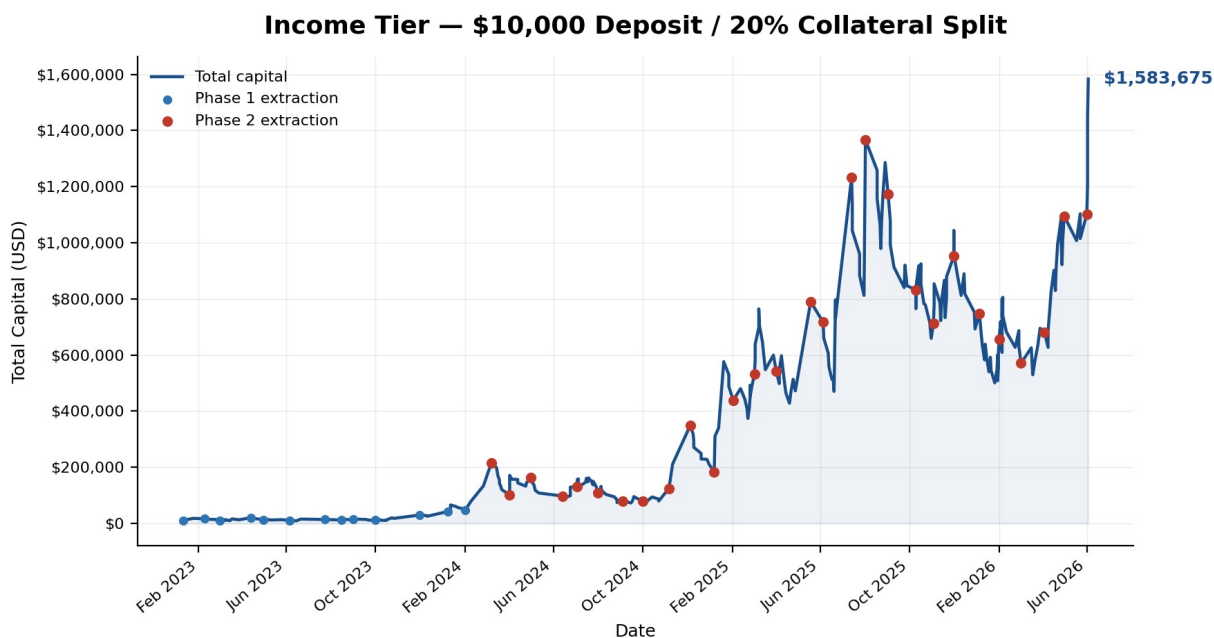


Key findings

- Final capital: \$62,645.03 — reached at the close of the available window (June 2026)
- Worst drawdown: 57.5%, occurring January 2026 from a peak set March 2025. Recovered to new high on the final trade of the window — timing is window-boundary dependent, not a demonstrated mid-sequence recovery.
- Client income extracted over 3.5 years: \$35,800.00 (26 Phase 1 periods, 4 Phase 2 periods)
- Extraction consistency: 30 of 41 active months produced an extraction (73.2%) — approximately one in four months produced nothing. Extraction is not guaranteed monthly.
- Income-to-deposit ratio: 35.80× the original deposit, extracted over the window
- This path crosses Phase 2 threshold — an outcome that requires compounding to proceed largely uninterrupted from the January 2023 entry. It is not guaranteed from arbitrary entry points.

5. Income Path — Verified Baseline

Observed in research at a \$10,000 deposit with 20% allocation. Same Jan 2023 baseline sequence.



Key findings

- Final capital: \$1,583,674.84 — reached at the close of the available window (June 2026)
- Worst drawdown: 66.9%, occurring October 2024 from a peak set March 2024. Recovered to new high by December 2024 — approximately 9 months, a genuine mid-sequence recovery confirmed well before the window closed.
- Client income extracted over 3.5 years: \$199,900.00 (13 Phase 1 periods, 28 Phase 2 periods)
- Extraction consistency: 41 of 41 active months produced an extraction (100%) — every active month in the observed window received a payout.
- Income-to-deposit ratio: 19.99× the original deposit, extracted over the window
- At \$10,000 deposit, the account enters above the Phase 1 activation threshold (\$5,000). Phase 1 begins firing from the first eligible trade. Phase 2 threshold (\$50,000) is reached through compounding.

6. Custom Analysis Requirement

The two profiles above are verified research outcomes from a single historical starting point — January 2023, the beginning of the available dataset. A real investor entering today would be starting at a different point in the sequence, with different market conditions ahead, a different number of trades remaining in any given observation window, and potentially different Phase activation timing.

Before any deployment, the following must be custom analyzed for the specific entry:

- Current position in the market cycle relative to the strategy's regime filter — whether the gate is open or closed, and how far from key thresholds price currently sits.
- Appropriate allocation percentage within or near the convergence zone, given deposit size and current entry conditions. The zone is 15–20% as a research finding — the specific figure is not automatically 15% or 20% for every investor.
- Expected Phase 1 activation timeline from this entry — how many trades, at the current win rate and collateral level, before the \$5,000 threshold is realistically reachable.
- Whether the growth path or income path profile is the better fit, given the investor's priorities. These are not products to choose between — they are observed outcomes of different configurations, and the configuration best suited to a given investor depends on the analysis above.

This custom analysis is not a formality. It is the core of what makes a deployment sound rather than speculative.

7. Important Disclosures

- All figures in this document derive from a single historical trade sequence (Jan 2023 – Jun 2026) re-run under different capital configurations. They are not independent forecasts and do not represent a guarantee of future results.
- Past performance, including performance across multiple historical starting points, is not indicative of future results. Cryptocurrency derivatives trading involves substantial risk including potential total loss of principal.
- The 0% halt rate reported for the convergence zone reflects testing against 316 historical starting points. It is not a guarantee that no future sequence of trades could cause a halt.
- Extraction consistency figures describe historical behavior of the capital model. Actual client outcomes depend on the specific date of deposit and the trade sequence that follows, which cannot be known in advance.
- The Growth Path's 73.2% extraction consistency means roughly one in four active months produced no extraction on the observed path. This is not a defect — it reflects capital below the extraction threshold in those months. It is disclosed here because it is a material difference from the Income Path's 100% consistency.
- Underlying trade-level methodology — entry/exit logic, signal mechanics, instrument selection — is proprietary and not disclosed in this document.
- This project is private and invite-only. This document is not a public offering, a fund prospectus, or a solicitation.

Questions regarding this analysis, the custom entry evaluation process, or the underlying system may be directed to the operator directly.